



Leveraging Generative AI for Operational Excellence & EBITDA Expansion

Midwest Trust Company · Leveraging Generative AI to Scale a \$8B Trust & Wealth Management Platform

PREPARED BY CHIEF AI OFFICER

CONFIDENTIAL

Company at a Glance

Midwest Trust Company is a privately held trust and wealth management firm providing investment management, trust and estate administration, retirement planning, and family office services across six states. Founded in 1993 by CEO Brad Bergman, JD, the firm operates within MTC Holding Corporation — a family of eight affiliated entities including FCI Advisors, Midwest Institutional Trust Company, and Mainstar Trust.

\$8B

Assets Under Management

Confirmed via SEC 13F filings

\$18.5M

Annual Revenue

Midpoint estimate · Privately held

120

Employees

12+ offices across 6 states

32

Years Operating

Founded 1993 · Overland Park, KS

27 JDs

Legal expertise embedded in every trust relationship

14 CTFAs

Certified Trust & Financial Advisors on staff

6 CFPs

Certified Financial Planners across the platform

25 Yrs Avg

Trust officer tenure — irreplaceable institutional knowledge

The Opportunity

Three structural forces converge to make AI transformation not merely advantageous — but existentially necessary for Midwest Trust's next decade of growth.

CAPACITY MULTIPLIER

Scaling Without Hiring

90,000–110,000 financial advisors are projected to retire by 2034. With trust officers averaging **25+ years of tenure**, Midwest Trust cannot scale through hiring alone. AI is the only viable path to increasing households-per-advisor without degrading the high-touch service model that defines the firm.

MARGIN DEFENSE

Protecting Profitability

Fee compression has eroded wealth management profit margins **19% since 2018**, with a further **9% decline projected by 2030**. Compliance costs are up **60%+** from pre-crisis levels. Manual trust administration workflows represent the single largest efficiency opportunity — and the single largest margin risk if left unaddressed.

GENERATIONAL BRIDGE

Winning the \$84 Trillion Transfer

An estimated **\$84 trillion** is transferring to digitally native heirs — **81% of whom plan to fire their parents' advisor**. Firms without AI-powered client portals, real-time reporting, and instant responsiveness will lose the next generation of trust relationships entirely.

Why Act Now

Four converging market forces are compressing the window for first-mover advantage. Each force independently demands action — together, they make delay an existential risk.

Advisor Talent Crisis

109,000 advisors retiring in the next decade — **37.5%** of industry headcount controlling **41.5%** of assets. Rookie failure rate: **72%** within five years. Only **6%** of retiring advisors have succession plans. Trust companies with 25-year-average-tenure staff face an operational countdown with no traditional solution.

Fee & Margin Compression

Mutual fund expense ratios down **61%** since **1996**. Active management fees approaching **0.44%**. PwC projects profit per AUM declining another **9%** by **2030**. Operational costs per \$1B AUM reaching **\$2.81M**. Mid-market trust firms (sub-\$1B revenue) see margins as low as **18%**.

Regulatory Cost Escalation

Compliance costs up **60%+** from pre-crisis levels. Trust companies face uniquely layered regulation: state trust laws, SEC oversight, BSA/AML, FATCA/CRS, fiduciary duty, and emerging AI governance. **86%** of wealth firms cite regulatory complexity as the greatest AI adoption hurdle — the irony is that compliance burden itself demands AI as the solution.

Competitive AI Gap Is Closing Fast

Morgan Stanley's AI Assistant: **98% advisor adoption**, saving **15 hours/week** per advisor. Goldman Sachs: firm-wide multi-model AI across all employees. **68% of RIAs** now use AI — but trust companies adopt at **one-quarter** that rate. The first-mover window for mid-market trust firms is narrowing rapidly.

AI Applications Across Functions

Generative AI creates high-impact efficiency gains across every business function — from SG&A operations to core trust and portfolio workflows. Estimated annual savings ranges reflect conservative-to-moderate adoption assumptions.

SG&A FUNCTIONS

Finance & Accounting

Automated financial reporting, AI-powered invoice processing and 3-way matching, cash flow forecasting, automated revenue-share calculations across affiliates.

25–35% labor reduction · \$280K–\$390K savings

Sales & Marketing

AI-generated proposals and pitch materials, lead scoring, CRM intelligence, content generation, automated drip campaigns and nurture sequences.

30–40% efficiency gain · \$520K–\$750K savings

Customer Service

AI chatbot for portal inquiries, automated account balance and distribution status, 24/7 digital concierge for beneficiary questions, intelligent routing for complex trust inquiries.

55–65% inquiry deflection · \$310K–\$440K savings

HR & Talent

AI recruiting chatbot and candidate screening, automated onboarding workflows, retention analytics and flight-risk prediction, compliance training tracking.

30–40% faster hiring · \$220K–\$310K savings

Legal & Compliance

Automated contract and trust document review, regulatory change monitoring, BSA/AML transaction surveillance, audit-ready report generation on demand.

35–45% labor reduction · \$380K–\$530K savings

TRUST OPERATIONS

Trust Administration

AI-powered document parsing and provision extraction, automated distribution calculations and compliance checking, auto-generated annual trust review narratives, beneficiary communication automation.

60–80% prep time reduction · \$680K–\$960K savings

Portfolio Operations

AI-generated personalized quarterly commentary, real-time drift detection and rebalancing alerts, predictive tax-loss harvesting, automated client presentation materials.

40–50% efficiency gain · \$410K–\$580K savings

Consolidated AI Value Summary

Across all seven functions, the AI transformation program delivers a compelling return profile — with payback occurring well within the first year of deployment and enterprise value creation that fundamentally re-rates the business.

Function	Annual Value Range	Timeline
Finance & Accounting	\$280K – \$390K	6–12 months
Sales & Marketing	\$520K – \$750K	9–15 months
Customer Service	\$310K – \$440K	6–9 months
HR & Talent	\$220K – \$310K	6–12 months
Legal & Compliance	\$380K – \$530K	9–15 months
Trust Administration	\$680K – \$960K	12–24 months
Portfolio Operations	\$410K – \$580K	12–18 months
TOTAL IMPACT	\$2.80M – \$3.96M	36 months

\$850K

Investment Required

\$650K–\$950K over 36 months

9 mo

Payback Period

6–9 months to full cost
recovery

1,030%

3-Year ROI

640–1,420% return on
investment

91%

EBITDA Uplift

76–107% improvement over
baseline

Three-Phase Transformation Roadmap

The program is structured as a disciplined, sequenced 36-month transformation — designed to deliver rapid early wins that fund and de-risk subsequent phases while building organizational AI capability systematically.

1 Phase 1 · Days 1–90 · Fast Wins · Investment: \$85K–\$140K

Executive AI Immersion Workshop · Trust document parsing pilot · Client service chatbot deployment (portal) · AP/invoice automation · AI Governance Framework (policy, standards, steering committee).

Value: \$180K–\$280K annualized run-rate. This phase is designed to generate organizational momentum, demonstrate tangible ROI within 90 days, and establish the governance infrastructure that all subsequent phases depend upon.

2 Phase 2 · Months 4–12 · Scale & Integrate · Investment: \$265K–\$410K

Enterprise AI platform deployment · Trust administration automation (distributions, annual reviews) · Advanced compliance monitoring · Sales proposal and CRM intelligence · Department-wide training rollout for all ~120 employees. **Value: \$1.6M–\$2.3M annualized run-rate.** This phase achieves full operational integration across SG&A functions and begins transforming core trust administration workflows.

3 Phase 3 · Months 13–36 · Optimize & Lead · Investment: \$300K–\$400K

AI Center of Excellence · Predictive portfolio analytics · Full trust administration automation · Client-facing AI portal with 24/7 concierge · Cross-affiliate integration across the MTC Holding platform (including Midwest Institutional Trust and Mainstar). **Value: \$2.8M–\$4.0M annualized run-rate.** This phase positions Midwest Trust as the definitive AI-enabled mid-market trust leader.

Risk Management Framework

Six risk vectors have been identified and mitigated through governance design, vendor standards, and change management protocols. Every critical risk has a defined owner, threshold, and remediation path.

1

Fragmented Adoption · HIGH

Governance framework + AI Steering Committee + enterprise platform required by Month 8. CEO sponsorship is mandatory and non-negotiable. Fragmented point solutions without enterprise coordination will eliminate synergies.

2

Data Quality & Silos · MEDIUM-HIGH

Data readiness assessment in Phase 1. Trust accounting, CRM, and document management systems are often siloed. Prioritize high-data-availability use cases first to ensure early wins are not blocked by data issues.

3

Change Resistance · MEDIUM

"AI augments trust officers, not replaces them" messaging. No-layoffs commitment firm-wide. Tiered training for all ~120 employees. Trust officers retain full fiduciary judgment authority — AI provides information, humans make decisions.

4

Fiduciary & Regulatory · CRITICAL

Human-in-the-loop mandatory for all trust distribution decisions and fiduciary determinations. Conservative confidence thresholds. State trust regulators and SEC require documented human oversight — no exceptions.

5

Client Data Security · \$2M–\$8M exposure

SOC 2 Type II / ISO 27001 required for all AI vendors. Private cloud architecture for trust documents and PII. Annual penetration testing. GLBA and state privacy law compliance enforced contractually.

6

Vendor Lock-In · MEDIUM

Open APIs required in all vendor contracts. Multi-vendor strategy maintained throughout. Data portability clauses non-negotiable. Quarterly tech reviews with the steering committee to assess market alternatives.

The Valuation Transformation

AI-enabled margin expansion doesn't just improve operations — it fundamentally re-rates enterprise value, creating \$28.9M–\$47.7M in shareholder wealth on a \$650K–\$950K investment over 36 months.

TODAY · BASELINE

Current Enterprise Value

\$3.7M EBITDA

~20% EBITDA margin on \$18.5M revenue.
Midpoint estimates — privately held.

8.0–10.0× Multiple

Standard mid-market trust company multiple.
No AI premium applied.

\$29.6M – \$37.0M

Implied enterprise value range at current operating profile.

YEAR 3 · POST-AI

Transformed Enterprise Value

\$6.5M–\$7.7M EBITDA

AI-enabled margin expansion to 32–38% — top-quartile for mid-market trust.

9.0–11.0× Multiple

Premium multiple awarded to technology-enabled trust platforms in M&A market.

\$58.5M – \$84.7M

Implied enterprise value range — \$28.9M–\$47.7M in value created.

❏ **Strategic Optionality:** Remain independent at top-quartile 32–38% EBITDA margins. Attract strategic or financial buyers at premium multiples — wealth management M&A median is **11.0× EBITDA** for AI-enabled firms. Scale AUM from \$8B toward **\$12B–\$15B** without proportional SG&A growth, leveraging AI to absorb post-acquisition integration (as demonstrated with the \$70B+ BMO ITS absorption).

The Choice Is Clear

❌ OPTION A: STATUS QUO

- Margin erosion as fee compression continues unchecked – margins declining toward 18%
- Talent crisis as 25-year-tenure trust officers retire without replaceable capacity
- Valuation stagnation at \$30M–\$37M with no expansion catalyst
- Loss of next-generation clients in the \$84T wealth transfer to digital-first competitors
- Acquisition integration bottlenecks limit the growth runway built by the BMO ITS transaction

Immediate Next Steps – Week 1

01

Days 1–3: Leadership Alignment

CEO convenes leadership team · Secure board endorsement · Commit to 36-month investment plan and governance structure

03

Weeks 1–2: Firm-Wide Communication

AI as trust officer copilot, not replacement · Invite employee input on workflow pain points · Establish no-layoffs commitment in writing

"Midwest Trust has built a \$8B platform on trust officer expertise and fiduciary excellence. AI doesn't replace that legacy — it multiplies it. The transformation begins now."

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✅ OPTION B: AI TRANSFORMATION

- **\$2.8M–\$4.0M annual EBITDA uplift** across seven business functions
- **32–38% EBITDA margins** — top-quartile for mid-market trust companies
- **\$28.9M–\$47.7M enterprise value created** on a \$650K–\$950K investment
- AI-powered capacity to scale AUM from **\$8B toward \$12B–\$15B** without proportional headcount
- Next-generation client experience that **retains the \$84T wealth transfer** for Midwest Trust

02

Week 1: Engage & Assign

Engage AI consulting partner · Assign Phase 1 lead (COO Stacey Perry) · Allocate \$85K–\$140K Phase 1 budget for immediate deployment

04

Weeks 2–4: Launch Phase 1 Pilots

Select 3–4 pilots: trust document parsing, client chatbot, AP automation · Begin Executive Immersion training program